

13-5 Conclusion

This chapter has developed some tools to study how firms make production and pricing decisions. You should now understand what economists mean by the term *costs* and how costs vary with the quantity of output a firm produces. To refresh your memory, [Table 3](#) summarizes some of the definitions we have encountered.

Table 3

The Many Types of Cost: A Summary

Term	Definition	Mathematical Description
Explicit costs	Costs that require an outlay of money by the firm	
Implicit costs	Costs that do not require an outlay of money by the firm	
Fixed costs	Costs that do not vary with the quantity of output produced	FC
Variable costs	Costs that vary with the quantity of output produced	VC
Total cost	The market value of all the inputs that a firm uses in production	$TC = FC + VC$
Average fixed cost	Fixed cost divided by the quantity of output	$AFC = FC/Q$

Term	Definition	Mathematical Description
Average variable cost	Variable cost divided by the quantity of output	$AVC = VC/Q$
Average total cost	Total cost divided by the quantity of output	$ATC = TC/Q$
Marginal cost	The increase in total cost that arises from an extra unit of production	$MC = \Delta TC / \Delta Q$

By themselves, a firm's cost curves do not tell us what decisions the firm will make. But they are a key component of that decision, as we will see in the next chapter.

Chapter 13: The Costs of Production: 13-5 Conclusion

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